growth from years of more moderate growth. The two larger sectors are, of course, important to overall growth. In the high growth years of 2005-06 to 2007-08 as well as in 2009-10 and 2010-11, the rate of growth of both the industry and services sectors was over 9 per cent. Within the industry sector, the manufacturing sector in particular, outperformed most other sectors of the economy in these years. Its growth averaged 11.6 per cent between 2005-06 and 2007-08 and 10.5 per cent for the years 2009-10 and 2010-11. It is clear from the foregoing analysis that for growth to be strong, the contribution from the industry sector, and in particular from the manufacturing sector, has to increase in the years to come. This is also important from the point of view of absorbing surplus labour from the agriculture sector.

The general pattern over recent years has been that, in years of sharply higher growth, GDP growth at market prices exceeds GDP at factor cost and the reverse is true in years of slow growth. *GDP at factor cost is GDP at market prices less indirect taxes plus subsidies.* Part of the reason for the differences in growth at factor costs and at market prices lies in the fact that the growth of indirect taxes tends to fall in a slowdown while the expenditure on subsidies often increases. This reduces the growth of net indirect taxes, which is the difference between the two items, in a slowdown.

The rate of growth in terms of GDP at market prices (at 2004-05 prices, i.e. is the Base Year) is expected to be 3.3 per cent for 2012-13 as against 6.3 per cent in 2011-12 (as per the Advance Estimates of the CSO). The growth rate declined significantly on account of the reduction in investment rate and lower growth of exports vis-à-vis that of imports. The rate of growth of consumption expenditure and particularly that of private final consumption expenditure has generally been more stable than investment, except in 2012-13.

## Private Final Consumption Expenditure

Private final **consumption expenditure** accounts for about *three-fifths* of GDP at market prices. An “increase in people’s disposable income tends to reduce the share of food in total consumption” [the National Sample Survey Organisation’s (NSSO) Survey on Consumption. Expenditure provides clear